

##CRISCa- Governance and Risk Management Concepts

###Objectives:

At the end of this episode, I will be able to understand:

1. Risk Appetite:

- The amount of risk that an entity is willing to accept
- The Owners or Board of Directors set the risk appetite for the company
- This can also be delegated to senior management
- Translates into standards and policies to maintain risk at the level of the risk appetite

2. Risk Capacity:

- Risk capacity is the amount of loss an enterprise can take without being in danger of closing
- Helps to set the risk appetite

3. Risk Tolerance:

- The acceptable level of variation that management is willing to allow for any particular risk
- This allows for occasional (and approved) deviations from the risk appetite
- The risk tolerance level is still under the risk capacity level
- Defined at the enterprise level and reflected in policies

4. Benefits of defining Risk Appetite and Capacity:

- Supports risk-based decision making
- Supports the understanding of how everything contributes to the overall risk profile
- Supports the prioritization and approval process of risk response actions
- Helps identify specific areas where a risk response should happen

5. Best case of communicating Risk appetite:

- Consistent implementation
- Effective monitoring and communication
- Consistent understanding of risk appetite and related tolerance

Additional resources used during the episode can be obtained using the download link on the overview episode.

External Resources:

During this episode, you can reference the following external resources for supplementary tools and information:

<http://www.isaca.org>